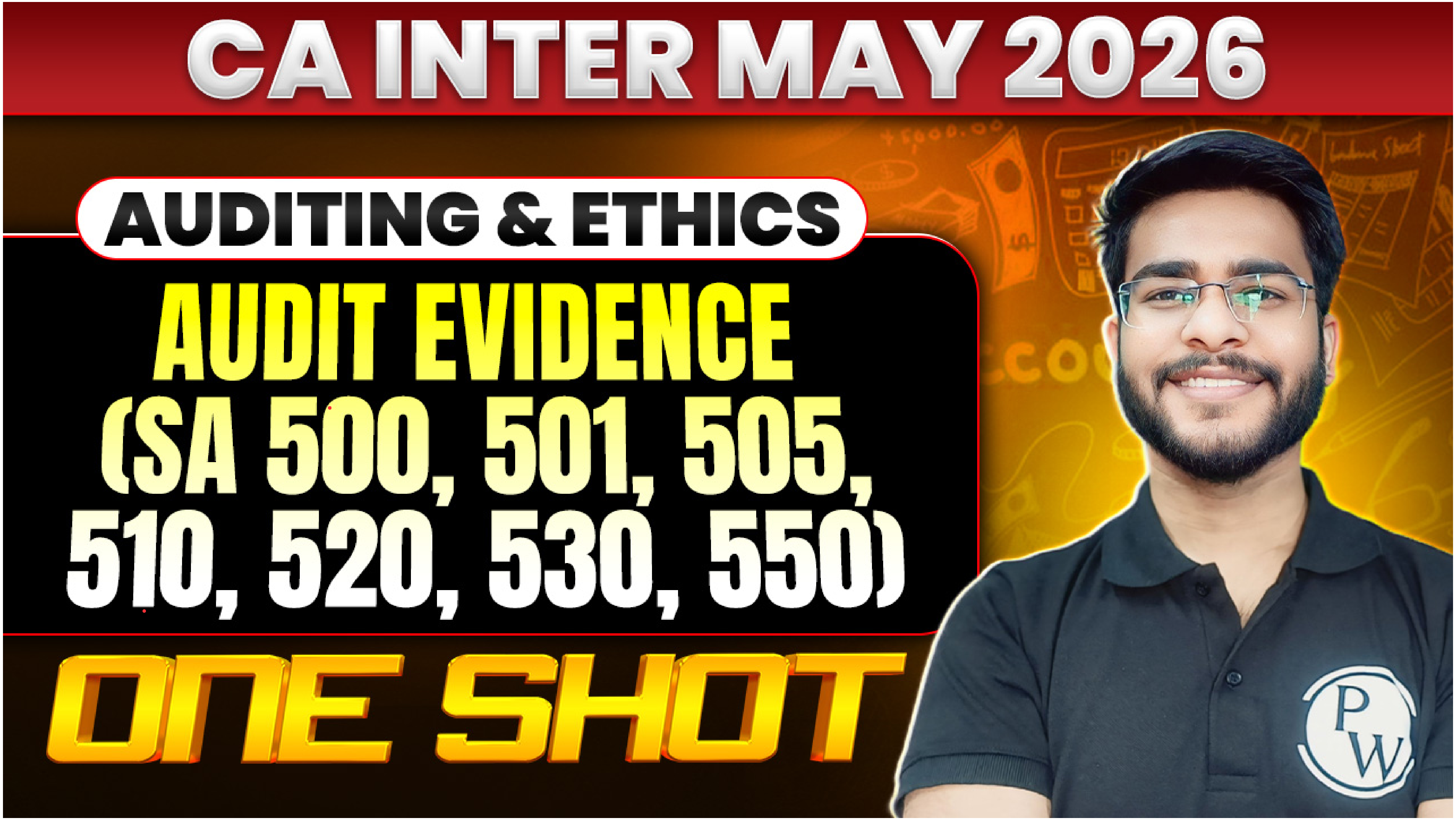
CA INTER MAY 2026
AUDITING & ETHICS
AUDIT EVIDENCE
(SA 500, 501, 505,
510, 520, 530, 550)
ONE SHOT

CHAPTER 7: Audit Evidence *(SA 500, 501, 505, 510)*

SA – 500: Audit Evidence

– Student Specific Code

Q1. Audit evidence includes both info. contained in accounting records underlying the FS & other info. [OLD]
Q. What is Audit Evidence? [OLD]

Intro: – Student Specific Code	• Auditing is a logical process. An auditor is called upon to assess the actualities of the situation, review the statements of account and give an expert opinion about the truth and fairness of such accounts. This he cannot do unless he has examined the financial statements objectively. • Objective examination connotes critical examination and scrutiny of the accounting statements of the undertaking with a view to assessing how far the statements present the actual state of affairs in the correct context and whether they give a true and fair view about the financial results and state of affairs. He needs evidence to obtain information for arriving at his judgment.
Definition:	Audit evidence may be defined as the: ➢ Information used by auditor in arriving at conclusions on which the auditor's opinion is based. ➢ Audit evidence includes both: • Information contained in accounting records underlying the financial statements and • Other information
Relationship between A.Evidence & Opinion: *[Company **RIL** me **MIC** laga lagake chilaayo]*	There exists a very important relationship between Audit Evidence and opinion of the Auditor. While conducting an audit of a company, the auditor obtains audit evidence and with the help of that audit evidence obtained, the auditor forms an audit opinion on the FS of that company.

Audit evidence includes: -	
1) Information contained in the accounting records [C-RIL]	• the Records of initial accounting entries and supporting records, such as checks and records of electronic fund transfers • Invoices; • The general and subsidiary Ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and • Contracts; • records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures.
2) Other information [MIC]	Other <u>information that authenticates accounting records and also supports the auditor's rationale behind the true and fair presentation</u> of the FS: • Minutes of the meetings, • Manuals containing details of Internal control etc. • Written Confirmations from trade receivables and trade payables

A combination of tests of accounting records and other information is *generally used by the auditor to support his opinion on the FS.*

Above Answer Ends

Q2. Explain what relationship exists between Audit Evidence & Opinion of Auditor.
Hint: *Refer Above topic: "Relationship between Audit Evidence & Opinion"*

➢ Sufficiency & Appropriateness of Audit Evidence (SAAE)

Sufficiency & Appropriateness of Audit Evidence (SAAE)	
SAAE is	Auditor shall design & perform Audit procedure to obtain SAAE to express an Opinion: 1) Sufficiency = Measure of Quantity of Audit Evidence

Necessary to Support Auditor's Opinion: *[Gandi Trick: **Iss saal ka kaam, Pichle saal** ka kaam .. se evidence dhundho...* ***Expert** ki help se saare **accounting record** lo ..**inside outside*** *Kam se kam kuch to mile .. either **supportive, Contra** or **absence** ... **Audit procedure lagao (ICAI ORR) .. jo SA 200 me diye h**]*	2) Appropriate = Measure of Quality Audit Evidence (Relevance & reliability) **Q3.** Most of the auditor's work in forming the auditor's opinion consists of obtaining and evaluating audit evidence. Explain **Q.** Explain how the auditor obtains SAAE to form an opinion on the FS. **(Jan'26 MTP)** **Q.** Audit evidence is necessary to support the auditor's opinion and report. It is cumulative in nature and is primarily obtained from audit procedures performed Explain **[OLD]** Audit evidence is necessary to support the auditor's opinion and report: • It is cumulative in nature and is primarily obtained from audit procedures performed during the course of the audit. • It may, however, also include ✓ Information obtained from other sources such as previous audits. ✓ Inside and outside the entity, ✓ Entity's accounting records are an important source of audit evidence. ✓ Information that may be used as audit evidence prepared using the work of a management's expert. • Audit evidence comprises both ✓ Information that supports and corroborates management's assertions, and ✓ Any information that contradicts such assertions. ✓ In addition, in some cases the absence of information (for example, management's refusal to provide a requested representation) also constitutes audit evidence. • A.procedures to obtain evidence include inspection, observation, confirmation, recalculation, reperformance and analytical procedures, in some combination, in addition to inquiry. • Although inquiry may provide important audit evidence, and may even produce evidence of a misstatement, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a MMS at the assertion level, nor of the operating effectiveness of controls. ➢ SA 200: Reasonable assurance is obtained when the auditor has obtained SAAE to reduce audit risk (i.e., the risk that the auditor expresses an inappropriate opinion when the financial statements are materially misstated) to an acceptably low level. ➢ SA 330 require: auditor to conclude whether SAAE has been obtained to reduce audit risk to an acceptably low level, and thereby enable the auditor to draw reasonable conclusions on which to base the auditor's opinion, is a matter of professional judgment. ➢ SA 200: Contain discussion of such matters (nature of audit procedure, timeliness of Financial Reporting, Balance between Benefit & Cost → Which are relevant factor → when auditor exercise professional Judgement regarding whether SAAE obtained The sufficiency & appropriateness of audit evidence is interrelated.
Sufficiency: *[MRP is Sufficient price]*	**Q4.** Obtaining more audit evidence, may not compensate for its poor quality. Explain stating clearly the factors affecting the auditor's judgement as to sufficiency of evidence. **Answer:** Measure of the Quantity of audit evidence It's affected by: • Auditors assessment of ROMM → the higher the assessed risks→ more A.evidence required • Quality of such audit evidence → Higher the quality → Less the Qty required Obtaining more audit evidence, however, may not compensate for poor quality ➢ **Factor's Affecting Sufficiency of Audit Evidence:** a) Materiality: Less evidence would be required in case assertions are less material to users But on the other hand, if assertions are more material, more evidence would be required b) ROMM: Risk that FS is materially misstated prior to audit [*Explain 2 Component (Inherent*

– Student Specific Code	*risk & Control risk)*] Less evidence would be required in case assertions that have a lower risk, its assertion have higher ROMM, More evidence would be required c) Size of population: Less evidence required in case of smaller & homogeneous Population [larger, more heterogeneous populations, more evidence would be required.]
Appropriateness:	**Q5.** Discuss what is understood by "appropriateness" of audit evidence. Measure of the Quality of audit evidence (Relevance and its Reliability) The reliability of evidence is influenced by its source and by its nature, and is dependent on the individual circumstances under which it is obtained.

Q6. Audit team of WT and Associates was of the view that sufficiency of audit evidence means simplicity of audit evidence and appropriateness of audit evidence means ease of obtaining audit evidence. Explain

Answer: SAAE does not mean simplicity and ease of obtaining audit evidence rather sufficiency of audit evidence is related to quantity of evidence & appropriateness of audit evidence is related to quality of evidence.

Q7. Auditor while checking Inventory of Company TIM Pvt Ltd, Found 2 issued:
(i) one purchase bill of 50 lacs, was in name of TIM Industries, was entered in books of TIM pvt Ltd
(ii) Mngt refused to provide Written representation, that physical verification was done.
whether each of above constitutes audit evidence

Hint: Evidence comprises both Info. that supports & corroborates Mngt assertions, & any Info that contradicts such assertions → Bill of Rs 50L contradicting management's assertion relating to Occurance → so it's A. evidence, Further, Absence of Info. Is also a A.evidence i.e., Mngt has refused to provide a written representation

➢ **Audit Procedure to Obtain Audit Evidence:**	
SA 330	(a) RAP – Risk assessment procedure (b) FAP - Further Audit procedure : • Tests of Control (ToC), • Substantive 1. Tests of Details (ToD) 2. Substantive Analytical Procedures (SAP)
Q8. What are the various audit procedures to obtain audit evidence? Mention the same in brief. **Q.** auditor was not able to gather the sufficient evidences. how he should proceed to gather more evidences [**OLD**]	
It Includes Following: ***(ICAI ORR)***	
Inspection *[Inspect Fixed assets / Inspect Docs]*	**Q9.** Discuss "inspection" SA 500 → factors affecting varying degrees of reliability of evidence obtained through inspection and provide an example of how inspection applied as a TOC. Which assertion is reliably addressed when a tangible asset is inspected & which 2 assertions Not. • It involves Examining records or documents, whether internal or external, Paper, Electronic • Physical examination of an asset • **Example:** For TOC inspection → Inspect the records for evidence of authorization **Reliability**: Inspection of records and documents provides audit evidence of varying degrees of reliability, depending on their nature and source and, in the case of internal records and documents, on the effectiveness of the controls over their production. ○ Some **Docs** represent direct audit evidence of the **existence of an asset**, for example, a document constituting a financial instrument such as a stock or bond. May NOT necessarily provide audit evidence about OWNERSHIP or VALUE. ○ **Inspection of tangible assets** may provide reliable audit evidence with respect to their existence, but not necessarily about the entity's RIGHTS and obligations / VALUATION ○ Inspection **of Inventory** item may accompany the observation of inventory count.

External Confirmation	• Audit evidence obtained by the auditor as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium • EC procedures also are used to obtain audit evidence about the absence of certain condition (Eg. The absence of a "side agreement" that may influence revenue recognition.)
Analytical Procedures	Evaluations of financial information made by a study of plausible relationships among both financial and non- financial data → investigation of inconsitent fluctuations & relationships.
Inquiry – Student Specific Code	• Seeking information of knowledgeable persons: ✓ Both financial and non-financial, ✓ within the entity or outside the entity. • Inquiry is used extensively → in addition to other audit procedures • Evaluating responses to enquiries is an integral part of the inquiry process. • Responses to inquiries may provide the auditor with ✓ Information not previously possessed or ✓ With corroborative audit evidence • Modify or Perform additional audit procedure : When Info differs significantly from other Info that the auditor has obtained • Inquiries about management intent → Corroborative evidence is require in addition to inquiry to support mngt intent → understanding management's past history of carrying out its stated intentions → reasons for choosing a particular course of action • It can be Formal Written Inquiry or Informal Oral Inquiry: However in case of Oral inquiry, Auditor shall also obtain Written Representation from Mngt to confirm such inquiry • Not SAAE: Although **inquiry may provide important audit evidence**, and may even produce evidence of a misstatement, **inquiry alone ordinarily does not provide SAAE** of the absence of a MMS at the assertion level, nor of the operating effectiveness of controls.
Observation	Looking at a process or procedure being performed by others (Eg. inventory counting by the entity's personnel)
Recalculation	Checking the mathematical accuracy of documents or records. (Manually or electronically) (MCQ Example: forex conversion Checking Or accuracy of depreciation calculations)
Reperformance	Auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control (Eg. Re-performing the reconciliation of bank statement or ageing of receivables)

Q10. During Audit, auditor of company used an audit procedure according to which complete documents & records of the company were checked in detail to obtain audit evidence. Explain the audit procedure used by auditor **[RTP'24]**

Hint: *Refer above "Inspection"*

Q11. Inquiry is one of the audit procedures to obtain audit evidence. **[MTP'25 & Old]**

Hint: *Refer above "Inquiry"*

Q12. The accountant of company is responsible for ensuring proper aging of trade payables. The auditor wants to verify whether aging of trade payables made in FS is proper or not. Identify what he is trying to do.

Hint: auditor is verifying aging of trade payables. He is "reperforming" the control which was mandated by mngt.

Q13. Identify & explain briefly the audit procedure used by the auditor to obtain audit evidence: → Export Sales invoice, whether conversion of foreign currency into Indian rupees is proper or not

Hint: *Refer above "Re-Calculation"*

Q14. CA S, has made oral inquiries from accountant regarding preparing of bank reco. (BRS) every month as has been laid down by the mngt., whether inquiries as stated above would provide satisfaction of controls.

Hint: **Inquiry alone ordinarily does not provide sufficient audit evidence** of the absence of a MMS at the assertion level, nor of the operating effectiveness of controls. Mere inquiry does not lead to obtaining of SAAE., CA Sooryagaythri should verify whether proper bank reconciliations have been carried out monthly

➢ **Point Relevant for Audit Procedures:**	
Apply RAP/TOC/TOD:	Audit procedure in addition to ICAI-ORR (Given above i..e inquiry, observation etc) → may be used → RAP, TOC or substantive procedures, depending on the context
Nature & time of Procedure:	It will be affected by → fact that: • some of the accounting data and other information may be available only in electronic form • will be available at certain point of time only (i.e., after change → there is no old logs)
Assertion:	**In obtaining audit evidence from substantive procedures**, the auditor is **concerned with the "Assertions" [Refer chapter 3 " assertion topic"]**

➢ Types of Audit Evidence

Depend upon Nature:	Visual:	Eg. Observing physical verification of inventory conducted by Mngt
	Oral:	Eg. Discussion with management & officers of client
	Documentary:	Eg. fixed deposit certificate, loan agreement, sales bill etc
Depend upon Source:	Internal Evidence	Which originates within the organisation (Eg. Sales invoice, Copies of sales challan etc.)
	External evidence	That originates outside the client's organization (Eg. **Purchase invoice**, supplier's challan, Confirmation etc.)

➢ Relevance & Reliability of Audit Evidence (It affect Quality of A. Evidence)

Relevance: *(Qn Asked from this Example)*	• Relevance deals with the logical connection with, or bearing upon, the purpose of the audit procedure and, where appropriate, the assertion under consideration. • The relevance of info. to be used as audit evidence may be affected by the direction & Purpose of testing • Example: ✓ If Purpose of Audit is to test Overstatement of A/c payable → testing the recorded accounts payable may be a relevant audit procedure ✓ If Purpose of Audit is to test Understatement of A/c payable → testing the recorded accounts payable is not relevant audit procedure (but testing subsequent disbursements, unpaid invoices, suppliers' statements is relevant) • An Given set of Audit procedure may provide audit evidence that is relevant to certain assertions, but not others (Eg., Existence of inventory is difference from Valuation of inventory) • Test of Control: Designed to evaluate operating effectiveness of control in preventing,detecting & correcting, MMS at assertion level. Designing TOC to obtain relevant audit evidence includes identifying conditions (characteristics or attributes) that indicate performance of a control, & deviation in conditions which indicate departures from adequate performance. • Substantive procedures: are designed to detect MMS at the assertion level. They comprise TOD & SAP. Designing substantive procedures includes identifying conditions relevant to the purpose of the test that constitute a misstatement in the relevant assertion.
Reliability of A.Evidence: *[GOD-WI]*	**Q15.** Discuss the principles, which are useful in assessing the reliability of audit evidence, **Q.** The auditor has given a clean report on FS on the basis of xerox copies of the books, vouchers and other records which were taken away by the Income Tax Department in search. Comment. **Answer**: Information to be used as audit evidence should be reliable.

	It's **influenced by its source and its nature**, and the circumstances under which it is obtained, including the **controls** over its preparation and maintenance where relevant. circumstances may exist that could affect its reliability Following generalisations about the reliability of audit evidence may be useful: • The reliability of audit evidence Generated internally is increased when the related controls, including those over its preparation and maintenance, imposed by the entity are effective • Audit evidence provided by Original documents is more reliable than audit evidence provided by photocopies or facsimiles, or documents that have been filmed, digitized. • Audit evidence obtained Directly by the auditor (i.e., Observation of control, rather than Inquiry about control) • Written: Audit evidence in documentary form, whether paper, electronic, or other medium, is more reliable than evidence obtained orally • The reliability of audit evidence is increased when it is obtained from Independent sources outside the entity

Hence,

- External evidence are more reliable (rec from 3rd parties)
- However, if auditor have doubt over 3rd party independence / Source is not knowledgeable i.e., invoice of an associated concern → exercise greater vigilance in that matter
- Auditor should try to match internal & external evidence as well as internal evidences corroborate one another.

Q16. An auditors was of the view that audit evidence obtained internally from within the company under audit are more appropriate from the reliability as compared to evidence obtained externally. Give your views.

Hint: Audit evidence obtained externally is more appropriate from reliability point then obtained internally.

Q17. A company has stipulated a control that reconciliations of its records showing quantitative details of its property, plant and equipment are carried out at regular intervals with physical verification of such items. The auditor has found that such reconciliations are being carried out as stipulated. Discuss, whether above factor, increases reliability of other internally generated evidence w.r.t existence.

Hint: The management is carrying out reconciliations at regular intervals. It means that controls in this regard have operated effectively. The reliability of audit evidence that is generated internally is increased.

Q18. Why auditor consider both – Relevance & Reliability of evidence while forming opinion ? (Jan'26 MTP) - Hint

Hint: As the quality of evidence depends on these factors (Relevance & Reliability).

- Relevance ensures that the evidence logically relates to the assertion being tested,
- while reliability depends on the source, nature, and circumstances under which the information is obtained.

evidence that is both relevant & reliable → provide a sound basis for expressing opinion on truth & fairness of FS.

➢ Management Expert

Q19. While conducting audit of a bank, you find that the bank has advanced loan for purchase of machinery on the basis of valuation report prepared by a civil engineer. Will you approve action of bank? Justify

Q. "mngt has obtained a certificate from an actuary w.r.t gratuity payable". Comment as an auditor **[OLD]**

Q. Company hired chartered engineers, to determine stock valuation. what aspects auditor will take care? (MTP'24)

Define:	An individual or organisation possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing the FS.
Auditor Shall Evaluate:	SA 500, "Audit Evidence", if entity has engaged experts, Auditor may rely on works of experts, provided he is satisfied that SAAE is obtained with reasonable assurance to form an opinion on FS. SA 500: Audit Evidence clearly states that, when information to be used as audit evidence has been prepared using the work of a management's expert, Auditor shall evaluate: **[CCO – U – A]**

	1) Evaluate the **Competence**, **Capabilities and Objectivity** of that expert. 2) Obtain an **Understanding** of the work of that expert; and 3) Evaluate the **Appropriateness** of that expert's work as audit evidence for relevant assertion. If auditor finds that civil engineer cannot be considered expert for valuation of machinery, he should insist on other analytical procedures to confirm value of machinery. Even after this, if he is not satisfied, he should give qualified opinion.

Evaluate Management Expert:

Q20. auditor, How to evaluate competence, capabilities, objectivity & understanding of work of actuary (Sept'24)

Evaluate CCO: *CC →* *O →* *O →*	As per SA 500 → when using the work of a management's expert as audit evidence the auditor should evaluate the competence, capabilities and objectivity of that expert that: *Trick: Qualification kya hai ? employed hai to independent to nhi ho sakta → mera phle ka bhi experience hai* 1) Knowledge of the expert, his qualification, membership of a professional body etc. 2) Whether the expert is employed by the entity or is an outside party. 3) Whether the expert is independent in respect of the entity. 4) Auditor's previous experience of the work of the expert.
obtain an understanding:	The auditor should also obtain an understanding of the work of that expert that: [*Expert* ne Konse *Data* pe → *Assumption & Method* lagaae] 1) Whether the auditor has expertise to evaluate the work of the expert. 2) Evaluating the nature of internal or external data used by the expert. 3) Evaluating the assumptions and methods used by the management.

When Management used Mngt Expert:

Info. to be used as Audit evidence → prepared by mngt. expert → NTE of Audit procedure may be affected by:	*[Trick: koi "**significant**" "**Risky**" "**nature**" ka matter hi hoga… tabhi to "**experienced**" expert rkha h mngt n]* *[Trick: mngt ne kis "**Kaam**" ke liye usse "**employ**" kara h > maana ki uske bhi apne "**professional standard**" h… par mngt to usse **fees** dera hai.. to wo usse **influence** kar dega]* • The nature and complexity of the matter to which the management's expert relates. • The risks of material misstatement in the matter. • The auditor's knowledge and experience of the mngt's expert's field of expertise. • The auditor's previous experience of the work of that expert. • The availability of alternative sources of audit evidence • The nature, scope and objectives of the management's expert's work. • Whether mngt expert is employed by entity, or is a party engaged by it to provide relevant services. • Whether mngt expert is subject to technical performance standards or other professional or industry requirements. • Extent to which mngt can exercise control or influence over the work of mngt expert. • The nature and extent of any controls within the entity over the mngt' expert's work.

➢ Selecting items for testing → To Obtain Audit evidence:

When performing TOD or TOC → auditor shall determine → means of selecting items for testing → that are effective for audit purpose procedure:

Selecting all items (100% examination):	• The auditor may decide that it will be most appropriate to examine the entire population of items that make up a class of transactions or account balance (or a stratum within that population).

[**Chote bade** dono items a **SAAE** lo > **Info system** k through]	• 100% examination is unlikely in the case of tests of controls (TOC); however, it is more common for tests of details (TOD) . • 100% examination may be appropriate when: ✓ The population constitutes a small number of large value items; ✓ There is a significant risk and other means do not provide SAAE; or ✓ The repetitive nature of a calculation or other process performed automatically by an information system makes a 100% examination cost effective
Selecting specific items: (**KIA** kar rha h, saare nhi .. specific items hi select kar)	**Q21.** State factors that can be considered by audit firm for selecting specific items from a population & also state specific items that can be included for such testing (May'24) **Answer:** • The auditor may decide to select specific items from a population. In making this decision, factors that may be relevant include: (i) Depends upon auditor's understanding of entity (ii) assessed ROMM (iii) Characteristics of population tested • The judgmental selection of specific items is subject to non-sampling risk. **Specific items selected may include:** 1) High value or Key items: Select high value items from population or exhibit some other characteristic. (i.e., Suspicious items, risk prone- history of risk) 2) All items over a certain amount: Whose recorded value exceed certain amount. (amount so as to verify a large proportion of the total amount of account balance) 3) Items to obtain information: auditor may examine items to obtain information about matters such as nature of entity & nature of transaction.
Audit sampling:	Designed to enable conclusions to be drawn about an entire population on the basis of testing a sample drawn from it.

Q22. Auditor taken following approach for selecting items of testing reflected in FS to obtain audit evidence:
(i) Test items out of ledger "Machinery repair & maintenance A/c" → because it has increase significantly
(ii) Test item from Purchase from related party (iii) All expenditure items exceeding Rs. 5 lacs
(iv) Few "Legal Expenses", just to know purpose of payment made
Senior is thinking that He is using "audit sampling" for selecting items for testing. Do you agree with him? Which risk is involved in above approach? Discuss with reasons (May'24 MTP)

Hint: *Define Audit sampling* (i.e., application of audit procedures to less than 100% of items within a population)

- In Given Situation, team member is **not selecting by "Audit Sampling"**, He is only "**selecting specific items**" from a population as per SA 500
- *Refer Above "Selecting specific Item"* (i.e., **KIA**)
- So, Senior understanding is wrong.
- **Non-sampling risk** is involved in above, i.e., auditor may reach an erroneous conclusion for any reason not related to sampling risk (i.e., Like inappropriate audit procedure)

➢ Inconsistent Evidence Or Doubt on Reliability:

Doubt on Reliability of A.E.	• If AE obtained from One Source is Inconsistent from Another, Or • Doubt over reliability of Information to be used as A. evidence Then → Auditor shall Modify or Perform Additional Audit Procedure to resolve the matter. [E.g., responses to inquiries of management, internal audit, and others are inconsistent]

	SA 230→ specific documentation requirement → if the auditor identified information that is inconsistent with the auditor's final conclusion regarding a significant matter.

Q23. Maintaining accounts using a/cing software having a feature of recording audit trail can be useful for auditor. Discuss some of advantages for such a feature in accounting software for auditors (refer below)

➢ Audit Trail (Audit Logs): (ICAI given in Paragraph)

- An audit trail is a documented flow of a transaction. It is used to investigate how a source document was translated into an account entry and from there it was inserted into financial statement of an entity.
- It is used as audit evidence to establish authentication and integrity of a transaction. Audit trails help in maintaining records of system and user activity. Like, in case of banks, there is an audit trail keeping track of log-on activity detailing record of log-on attempts and device used.
- It is a step-by-step record by which a/cing, trade details, or other financial data can be traced to their source.
- Audit trails (or audit logs) act as record-keepers that document evidence of certain events, procedures or operations, because their purpose is to reduce fraud, material errors, and unauthorized use.
- Audit trails help to enhance internal controls and data security. Audit trails can help in fixing responsibility, rebuilding events and in thorough analysis of problem areas. Audit trail analysis can specify reason of the problem. It can also help in ensuring operation of system as intended.
- However, audit trails involve costs. The cost is not only in terms of system expenditure but also in terms of time involved in analysing data made available by audit trails. However, use of automated tools can be made to analyse large volume of data thrown up by audit trails.
- Systems which have a feature of audit trail inspires confidence in auditors. It helps auditors in verifying whether controls devised by the management were operating effectively or not. It aids in verification whether a transaction was indeed performed by a person authorised to do it. Since audit trails also enhance data security, these can be used by auditor while performing audit procedures thus increasing reliability of audit evidence obtained.

SA – 501: "Audit Evidence- Specific Considerations for Selected Items"

Objective: to obtain SAAE Regarding:

- Existence & Condition regarding **Inventory**
- Completeness of **litigation and claims**
- Presentation and disclosure of **segment info**. As per applicable financial reporting framework

Inventory: Existence & Conditions	
Attending Physical Count (Unless Impracticable) *[Evaluate, Inspect, Observe, Test count]* – Student Specific Code	**Q24.** You as an auditor of the company wanted to obtain SAAE regarding the existence and condition of the inventory as appearing in the FS. Discuss, how Auditor should process. **Answer**: When inventory is material to FS, auditor shall obtain SAAE regarding existence & condition by: 1. **Attendance at physical inventory** counting, unless impracticable, to: (i) Evaluate management's instructions and procedures for recording and controlling the results of the entity's physical inventory counting; (ii) Observe the performance of management's count procedures; (iii) Inspect the inventory; and (iv) Perform test counts; and 2. Performing audit procedures over the entity's final inventory records to determine whether they accurately reflect actual inventory count results.

<table>
<tr><td>Other than Date of FS (By Mngt):

[tu to bol rha tha bilkul perpetual & reliable system h .. to difference kyu aaya]</td><td>If physical counting is conducted at a date other than the date of the FS, the auditor shall, In addition to above procedure,
Perform audit procedures to obtain audit evidence about whether changes in inventory between
• Count date &
• Date of the financial statements
are properly recorded.

<u>When designing audit procedures to obtain audit evidence about whether changes in inventory amounts between the count date, or dates, and the final inventory records are properly recorded, Consideration Include:</u>
a) Whether the perpetual inventory records are properly adjusted.
b) Reliability of the entity's perpetual inventory records.
c) Reasons for significant differences between the information obtained during the physical count and the perpetual inventory records.</td></tr>
<tr><td>Unable to Attend:</td><td>If the auditor is unable to attend physical inventory counting due to unforeseen circumstances,
• Auditor shall make or observe some physical counts on an alternative date, and
• Perform audit procedures on intervening transactions.</td></tr>
<tr><td>Impracticable:</td><td>If attendance at physical inventory counting is impracticable:
• Auditor shall perform alternative audit procedures to obtain SAAE regarding the existence and condition of inventory.
• If it is not possible to do so, the auditor shall modify the opinion as per SA 705
<table>
<tr><td>Why It's Impracticable?</td><td>• Factors such as the nature and location of the inventory,
• Eg, inventory held at location that may pose threats to the safety of the auditor
• General inconvenience to auditor, however, is not sufficient to support a decision by the auditor that attendance is impracticable.
• Further, SA 200, matter of difficulty, time, or cost involved is not in itself a valid basis for the auditor to omit an audit procedure for which there is no alternative or to be satisfied with audit evidence that is less than persuasive.</td></tr>
<tr><td>Example of Alternate Audit Procedure</td><td><u>Inspection of documentation of:</u>
✓ Subsequent sale of specific inventory items acquired or
✓ Purchased prior to the physical inventory counting,

May provide SAAE about the existence and condition of inventory.</td></tr>
</table></td></tr>
<tr><td>Held with 3rd Party:</td><td>Q25. P Ltd gets the job work done through various job workers. The auditor of P Ltd. Considers that inventory held with job workers is material to the FS. Or,
Q. QP Ltd sends raw material to some business entities and procures finished components from them. on 31/04/24 inventories lying with such entities are material. how you will obtain SAAE reg. existence & condition of inventories lying with such business entities? (RTP May'24)
When inventory under the custody and control of a 3rd party is material to FS, the auditor shall obtain SAAE regarding the existence and condition of that inventory by:
(a) Request confirmation from the 3rd party as to the quantities and condition of inventory held on behalf of the entity.
(b) Perform inspection or other audit procedures appropriate in the circumstances.</td></tr>
</table>

Student Specific Code	**Other audit procedure may include (Generally when doubt over reliability of 3rd party)-** (i) Inspecting documentation regarding inventory held by third parties, for example, warehouse receipts. (ii) Requesting confirmation from other parties when inventory has been pledged as collateral. (iii) Attending, or arranging for another auditor to attend, the third party's physical counting of inventory, if practicable. (iv) Obtaining another auditor's report, or a service auditor's report, on the adequacy of the third party's internal control for ensuring that inventory is properly counted and adequately safeguarded.

Some Other Points Related to Inventory:	
Attending physical count Involves:	(a) Inspecting the inventory to ascertain its existence and evaluate its condition, and performing test counts; (b) Observing compliance with management's instructions and the performance of procedures for recording and controlling the results of the physical inventory count; and (c) Obtaining audit evidence as to the reliability of management's count procedures. These procedures may serve as TOC or substantive depending on the auditor's risk assessment.
Planning Physical count:	**Q26.** Mention matters that are relevant in planning attendance at physical inventory counting. Q. **MTP 2024:** In Qn itself, all points were given, except Point (f) & (i) below, so question asked to identify & mention which points are missing → so (f) & (i) point needs to be mention **Answer:** Matters relevant in planning attendance at physical inventory counting include, for example:

Trick	ICAI Points:
Konsi Inventory ka count? **Kab** karna hai? **Kaha** karna hai?	a) Nature of inventory. b) Stages of completion of work in progress c) Timing of physical inventory counting d) Locations at which inventory is held, including the materiality of inventory & ROMM at different locations, in deciding at which locations attendance is appropriate
Inventory me **Risk** & **Control** kitna hai? Agar risk jyada hai to kisi **EXPERT** bande se hi kaam	e) The ROMM related to inventory f) The nature of the internal control related to inventory. *(may be possible that invtry at 1 location have weak IC, so higher ROMM)* g) Whether the assistance of an auditor's expert is needed.
	h) Whether the entity maintains a perpetual inventory system. i) Whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting *(As auditor has to evaluate those instruction, to assess effectiveness of mngt inv. Count)*

Q27. Auditor not able to attend Physical count at Borders (Unavoidable reason)
(i) how to gather SAAE reg. existence & condition of Inv (ii) how auditor deal if Impracticable to attend [RTP'25]
Hint: Refer above "*Attending Physical Count*" & "*Impracticable*"

➢ **Litigation & Claims**: Completeness	
Audit Procedure:	**Q28.** "P India" Ltd. is having several cases of litigation pending in courts. The auditor wanted to

(Trick: me kabhi legal case ni padunga .. as I Love Myself)	identify litigation and claims, which may give rise to ROMM. Suggest audit procedures. Design and perform audit procedures to identify litigation and claims involving the entity which may give rise to a **ROMM**, including: (a) Inquiry of Mngt &, where applicable, others within entity, including in-house legal counsel; (b) Reviewing Minutes of meetings of TCWG & correspondence between entity and its external legal counsel; and (c) Reviewing Legal expense accounts Litigation & claim involving the entity may have a material effect on the FS and thus may be required to be disclosed or accounted for in the FS.
Communicate Entity external Legal counsel: [Trick: **litigation ki list** deke pucho ki **mngt** to bolra h ki jeet jaaenge case .. tra kya **assessment** h ? chalo **meeting** hi kar lete h]	➢ If the auditor assesses a ROMM regarding litigation or claims exist, or when audit procedures performed indicate that other material litigation or claims exist, auditor shall: • Seek direct communication with the entity's external legal counsel. ➢ Above can be done by **Letter of General Inquiry** • Prepared by Mngt & Sent by Auditor • Requesting the entity external legal counsel to communicate directly with auditor ➢ If Law or Legal council's professional body deny / Prohibit to communicate directly with auditor → Alternate Procedure require. ➢ If Mngt Or Legal Council refuse to communicate with external legal council + Auditor not able to obtain SAAE using Alternate A.Procedure → SA 705 Modify Opinion In certain circumstances, the auditor also may judge it necessary to **MEET** with the entity's external legal counsel to **discuss the likely outcome of the litigation** or claims. This may be the case, for example, where: a) The auditor determines that the matter is a significant risk b) The matter is complex. c) There is disagreement between Mngt & external legal counsel. Ordinarily, such meetings require mngt's permission & are held with a representative of mngt in attendance. **Q29.** List out the inclusions in the letter of specific enquiry. **Q.** What will be auditor's reporting responsibility if the management refuses to give permission to the auditor to communicate or meet with the external legal counsel? **Answer:** **Letter of Specific Enquiry:** If it is considered unlikely that the entity's external legal counsel will respond appropriately to a letter of general inquiry, Eg. If professional body of external legal counsel prohibits response to such a letter. For this purpose, a letter of specific inquiry includes: a) A list of litigation and claims; b) Where available, management's assessment of the outcome of each of identified litigation & claims and its estimate of the financial implications, including costs & c) A request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the entity's external legal counsel to be incomplete or incorrect. If Mngt Or Legal Council refuse to communicate with external legal council + Auditor not able to obtain SAAE using Alternate Audit Procedure → **SA 705** Modify Opinion

Q30. The company is having several cases of litigation pending in courts. The auditor wanted to identify litigation and claims resulting to ROMM. Suggest the auditor with reference to SAs.

Hint: *Refer Above "**Audit procedure**" Given in Notes section*, and Below Points:

If the auditor assesses a ROMM regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, seek direct communication with the entity's external legal counsel

Further if:

(a) Mngt refuses to give the auditor to communicate or meet with the entity's external legal counsel, or the entity's external legal counsel refuses to respond appropriately to the letter of inquiry, or is prohibited from responding; and

(b) the auditor is unable to obtain SAAE by performing alternative audit procedures,

the auditor shall modify the opinion in the auditor's report in accordance with SA 705.

Q31. there is a Possibility that company has not disclosed all material litigation cases involving the company. Does such a situation warrant direct communication by auditor with external lawyer of the company?

Hint: As per requirements of SA-501, If the auditor assesses a ROMM regarding litigation or claims, seek direct communication with the entity's external legal counsel (External Lawyer).

Q32. auditor requested the Mngt for arranging the meeting with company's external legal counsel. such meetings are necessary in some certain circumstances only, List down such circumstances (RTP'24)

Hint: Refer Above: "**MEET** the entity Legal council" i.e., Significant matter, complex, Disagreement

➢ **Segment Information**: Presentation & Disclosure	
Audit Procedure: *(UA)*	Obtain SAAE w.r.t presentation and disclosure of segment information **as per FRF**: (a) Obtaining an Understanding of the methods used by management in determining segment information. Further, (i) Evaluating whether such methods are likely to result in disclosure in accordance with the applicable FRF (ii) Where appropriate, testing the application of such methods. (b) Performing Analytical procedures or other audit procedures appropriate in circumstances
Auditor's responsibility reg. P&D of S.Info:	The auditor's responsibility regarding the presentation and disclosure of segment information is i.r.t the FS taken as a whole. Accordingly, the auditor is not required to perform audit procedures that would be necessary to express an opinion on the segment information presented on a standalone basis.
Understanding Method used by Mngt: *[RTP May'22]*	Example of matters that may be relevant when obtaining an understanding of the methods used by management in determining segment information and whether such methods are likely to result in disclosure in accordance with the applicable FRF include: a) Sales, transfers and charges between segments, & elimination of intersegment amounts b) The allocation of assets and costs among segments c) Comparisons with budgets and other expected results, for example, operating profits as a percentage of sales d) Consistency with prior periods, and the adequacy of the disclosures wrt inconsistencies

Q33. what is key responsibility of auditor i.r.t segment information ? What audit procedures to perform to ensure that methods used by mngt to present segment info are in accordance with applicable FRF ? jan'25]

Answer: Refer above *whole table of Segment Information*

SA – 505: "External Confirmation" (E.C)

Means:	External confirmation (EC) may be defined as audit evidence obtained as a direct written response → to the auditor → from a 3rd party (the confirming party) → in paper form, or by electronic or other medium. (It's more reliable → As coming from External Source i.e., independent Party)
External Confirmation Procedures:	**Q34.** the auditor shall maintain control over external confirmation requests including sending requests, follow-up requests when applicable,. Explain the other points. **Answer:** Auditor shall maintain control over external confirmation requests, including: (a) Determining the information to be confirmed or requested; (A/c balance, agreement, transaction, to confirm the absence of certain conditions, such as a "side agreement") (b) Selecting the appropriate confirming party; (Party must be knowledgeable) (c) Designing the confirmation requests, including determining that requests are properly addressed and contain information for responses to be sent directly to the auditor; (d) Sending the requests, including follow-up requests, to confirming party i.e., auditor can send additional confirmation request when previous request reply not received.
Designing Confirmation Requests: – Student Specific Code	**Q35.** explain why designing a proper confirmation request is necessary and discuss the key factors an auditor should consider when designing confirmation requests [MTP'25] ➢ Why Designing Proper confirmation Request is necessary: The design of a confirmation request may directly affect the confirmation response rate, and the reliability and the nature of the audit evidence obtained from responses. Therefore, designing a proper confirmation request by auditor is necessary ➢ Factors to consider when designing confirmation requests include: (i) The ability of the intended confirming party to confirm or provide the requested information (for example, individual invoice amount versus total balance). *[Saamne wala kon hai?]* (ii) The assertions being addressed. *[Usse kya puchna hai ?]* (iii) Specific identified risks of material misstatement, including fraud risks. *[Usse kya puchna hai ?]* (iv) Prior experience on the audit or similar engagements. *[baaki apan khoodka experience use leke ?]* (v) The layout and presentation of the confirmation request. *[Presentation & communication dekh lenge]* (vi) The method of communication (Eg., in paper form, or by electronic or other medium). (vii) Management's authorisation or encouragement to the confirming parties to respond to the auditor. Confirming parties may only be willing to respond to a confirmation request containing management's authorisation.

Q36. CA Jignesh, as external auditor of company, he has delegated the process of choosing trade receivables, designing requests and receiving responses from customers to internal audit department. The responses are also received on the mail id of internal audit department. Is the approach of CA Jignesh Desai proper.

Hint: *Refer Above "External confirmation Procedure"*

In given case, it appears that the external auditor has delegated entire work of sending out E.C. requests to internal audit department over which he has no control. Further, responses to E.C requests are received on mail id of internal audit department. All these acts are **not in line with requirements under SA 505.**

➢ Types of Confirmation:

Types of EC Request:	**Positive Confirmation** A request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information.	**Negative Confirmation** A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request.
About Positive confirmation request:	• A positive E.C. request asks the confirming party to reply to the auditor in all cases, either by indicating the confirming party's agreement with the given information, or by asking the confirming party to provide information. • A response to positive confirmation request is expected to provide reliable audit evidence. • There is a risk, however, that a confirming party may reply to the confirmation request without verifying that the information is correct. • The auditor may reduce this risk by using positive confirmation requests that do not state the amount (or other information) on the confirmation request and ask the confirming party to fill in the amount or furnish other information. • On the other hand, use of this type of "blank" confirmation request may result in lower response rates because additional effort is required of the confirming parties.	
When to Use Negative Confirmation: **(Conditions of Using Negative Confirmation)** *H-RED flag hai neg. confirmation* *[Not suitable for Large Balances]*	**Q37.** *CA assesses ROMM as low & I.C is operating effectively → Which E.C ? Conditions ?* ***Q. (MTP'24)*** *- Which conditions need to be met to use negative confirmation requests ? whether negative confirmations provide same level of audit evidence like positive confirmations.* As per SA 505, Negative confirmations provide **less persuasive audit evidence** than positive confirmations. Accordingly, the auditor shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed ROMM at the assertion level unless all of the following are present: a) R- The auditor has assessed the ROMM as Low and has obtained SAAE regarding the operating effectiveness of controls relevant to the assertion. b) E- very low exception rate is expected; and c) H- The population of items subject to negative confirmation procedures comprises a large number of small, homogeneous, account balances, transactions or conditions. d) D- The auditor is not aware of circumstances or conditions that would cause recipients of negative confirmation requests to disregard such requests. **The failure to receive a response** to a negative confirmation request does not explicitly indicate receipt by the intended confirming party of the confirmation request or verification of the accuracy of the information contained in the request. So, a failure to respond to a negative confirmation request provides significantly **less persuasive audit evidence** than does a response to a positive confirmation request. Confirming parties also may be more likely to respond indicating their disagreement with a confirmation request when the information in the request is not in their favour. Therefore, view of CA X is not correct.	

Q38. Define the following:
[**Author Note**: In RTP one Reverse Qn is also asked, i.e., Definitions was given & Term name was Asked for Below Terms]

Question	Answer:
Positive Confirmation:	*Refer Definition given in above notes*

Negative Confirmation	*Refer Definition given in above notes*
Non-response:	A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered
Exception:	A response that indicates a Difference between: • Information requested to be confirmed, or contained in the entity's records, and • Information provided by the confirming party

Q39. Sent a confirmation to Debtor → Rs. 420,000, respond in both cases whether Amount agrees or not. Amount confirmed by debtor is Rs. 400,000 → Which type of confirmation & what action by auditor ? (Hint:sept'24)

Hint: Define "*Positive Confirmation Request*" & "*Exception*"

Explain given case → auditor evaluation shall take into account whether SAAE obtained or FAP necessary as per SA 330 for exception. ➔

company should be asked to investigate and reconcile the discrepancy indicated by confirming party

➢ Situation where External Confirmation can be used:

Situation where External Confirmation can be used: ***[Given in SA 330]***	**Q40.** External confirmation procedures frequently are relevant when addressing assertions associated with account balances and elements, but need not be restricted to these **Answer**: External confirmation procedures frequently are relevant when addressing assertions associated with account balances & their element, but need not be restricted to these items. For example, terms of agreements, contracts, or transactions between entity & other parties. External confirmation procedures also may be performed to obtain audit evidence about the absence of certain conditions. For example, a request may specifically seek confirmation that no "side agreement" exists that may be relevant to an entity's revenue cut-off assertion. Other situations include: • Bank balances and other information relevant to banking relationships • Accounts receivable balances and terms. • Inventories held by third parties at bonded warehouses for processing or on consignment. • Property title deeds held by lawyers or financiers for safe custody or as security. • Investments held for safekeeping by third parties, or purchased from stockbrokers but not delivered at the balance sheet date • Amounts due to lenders, including relevant terms of repayment and restrictive covenants • Accounts payable balances and terms

➢ Mngt Refusal to send Confirmation Request:

Mngt Refusal to send Confirmation Request: [MCQ: if management refuses to send supplier confirmation → Verify refusal reason, use alternatives (*Do not impact opinion*	**Q41.** The auditor wanted to send confirmation request to few trade receivables, but management refused the auditor to send confirmation request. If management refuses to allow auditor to send a confirmation request, the auditor shall: a) Inquire as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness; (i.e., could be Legal dispute, negotiation with vendor etc.) b) Evaluate the implications of management's refusal on the auditor's assessment of the **relevant ROMM**, including the risk of fraud, and on the NTE of other audit procedures; c) Perform alternative audit procedures to obtain relevant & reliable audit evidence. ➢ If the auditor concludes that Management's refusal is unreasonable, or ➢ Auditor is Unable to obtain relevant and reliable audit evidence from alternative audit procedures,

directly)]	Auditor shall communicate with TCWG in accordance with SA 260 Determine the implications for audit and the auditor's opinion in accordance with SA 705.
Alternative A.Procedure: *[MCQ: Mngt W.R is not enough]*	Examples of alternative audit procedures the auditor may perform include: ➢ For accounts receivable balances – examining specific subsequent cash receipts, shipping documentation, and sales near the period-end. ➢ For accounts payable balances – examining subsequent cash disbursements or correspondence from third parties, and other records, such as goods received notes.

Q42. CFO of the company is not willing to allow auditor to send external confirmation request to debtor, she finds out that there is a dispute going on with the company relating to some quality issues of goods sent to the customer. Efforts are also being made by the company for out of court settlement. she finds that issue is near resolution and no fraud risk factors exist. Is unwillingness of CFO justifiable?

Hint: → As per SA 505, if Mngt refuses → inquire as to Mngt's reasons for the refusal, and seek audit evidence as to their validity and reasonableness.
A common reason is existence of a legal dispute or ongoing negotiation,. Further, fraud risk factors do not exist. Keeping in view, unwillingness of CFO is justifiable.

➢ Evaluating the Evidence Obtained:

Evaluating: – Student Specific Code	Evaluate whether result of E.C provides: • Relevant and reliable audit evidence, *Or,* • Whether performing further audit procedures is necessary. When evaluating the results of individual E.C. requests, categorize such results as follows: a) A response by the appropriate confirming party indicating agreement with the information provided in the confirmation request or providing requested information without exception. b) A response deemed unreliable. c) A non-response; or d) A response indicating an exception. Above procedures assist the auditor in concluding → whether SAAE has been obtained or FAP necessary as per SA 330
Result of EC:	If Auditor Identify Factors: a) **Doubt over reliability** of response of Confirmation request → Auditor shall Obtain further audit evidence to resolve those doubts. b) Confirmation request response is **Not reliable** → Auditor shall evaluate the implications on the assessment of the relevant ROMM, including the risk of fraud, and on the related NTE of other audit procedures

MCQ: Debtor confirmation sent of 20.04.2024 is Ok… as It's Near Balance sheet date

Whether to use External Confirmation Procedure as Substantive Procedure:	Factors that auditor shall consider whether external confirmation procedures are to be performed as substantive audit procedures: (i) The **confirming party's knowledge of the subject matter** – responses may be more reliable if provided by a person at the confirming party who has the requisite knowledge about info. (ii) The **ability or willingness of the intended confirming party** to respond – for example, he: • May not accept responsibility for responding to a confirmation request; • May consider responding too costly or time consuming;

(SA 330)	• May have concerns about the potential legal liability resulting from responding; • May account for transactions in different currencies; or • May operate in an environment where responding to confirmation requests is not a significant aspect of day-to-day operations • In such situations, confirming parties may not respond, may respond in a casual manner or may attempt to restrict the reliance placed on the response. (iii) The **objectivity of the intended confirming party** – if the confirming party is a related party of the entity, responses to confirmation requests may be less reliable.

SA – 510: "INITIAL AUDIT ENGAGEMENT"

Initial Audit Engagement:	An engagement in which either: a) The FS for the prior period were not audited; or b) The FS for the prior period were audited by a predecessor auditor.
Auditor's Objective:	**Q43.** Discuss the objective of Auditor w.r.t Opening balances in initial audit engagement. w.r.t **opening balances** is to **obtain SAAE** about whether: a) Opening balances contain misstatements that materially affect the current period's FS; & b) Appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's FS, or changes thereto are properly Accounted for and adequately Presented and Disclosed *(APD)* as per applicable FRF
Predecessor Auditor:	The auditor from a different audit firm, who audited the financial statements of an entity in the prior period and who has been replaced by the current auditor.

➢ Audit Procedure regarding Opening Balances:

Audit Procedure reg. Opening Balance: *[FS padho,* *SAAE for > Op. Balance & Policy pe* *Perform Procedures* *Se pata pada ki opening bal contain misstatnt]*	➢ The auditor shall read the most recent financial statements, if any, & predecessor auditor's report thereon, for information relevant to opening balances & disclosures. ➢ Auditor shall obtain SAAE about whether the opening balances contain misstatements that materially affect current period's financial statements by: a) Determining whether the prior period's closing balances have been correctly brought forward to current period or, when appropriate, adjustments have been disclosed as prior period items in current year's P&L. b) Determining whether opening balances reflect application of appropriate A/cing policies; & c) Performing one or more of the following: (i) Where the prior year FS were audited, perusing the copies of audited FS including the other relevant documents relating to the prior period FS. (ii) Evaluating whether audit procedures of current period provide evidence relevant to the opening balances; or (iii) Performing specific audit procedures to obtain evidence reg. opening balances. ➢ If the auditor obtains audit evidence that the opening balances contain misstatements **that could materially affect current period's FS:** • Auditor shall perform such additional audit procedures as are appropriate in the circumstances to determine the effect on the current period's FS. • If auditor concludes that such misstatements exist in current period's FS, the auditor shall communicate misstatements with appropriate mngt & TCWG in accordance with SA 450.

Some Specific Procedures, in addition to above:	
If Prior FS audited by Pre-decessor auditor:	• The auditor may obtain SAAE regarding the opening balances by perusing the copies of the audited FS including the other relevant documents relating to the prior period FS such as supporting schedules to the audited FS. • Ordinarily, the current auditor can place reliance on the closing balances contained in the FS for the preceding period, except when during the performance of audit procedures for the current period the possibility of misstatements in opening balances is indicated.
For Current assets & liability:	For current assets and liabilities, some audit evidence about opening balances may be obtained as part of the current period's audit procedures. ➢ **Debtor/Creditor:** The collection (payment) of opening accounts receivable (accounts payable) during the current period will provide some audit evidence of their existence, rights and obligations, completeness and valuation at the beginning of the period. ➢ **For Inventory:** Obtain SAAE about opening inventory by: • Observing a current physical inventory count & reconciling it to opening inventory Qty. • Performing audit procedures on the valuation of the opening inventory items • Performing audit procedures on gross profit and cut-off
For Non-Current Assets & Liability:	➢ i.e., Property plant and equipment, investments and long-term debt, some audit evidence may be obtained by examining the accounting records and other information. ➢ In certain cases, through confirmation with third parties.

Q44. CA Pankaj did not apply any audit procedures regarding opening balances. He argued that since FS were audited by the predecessor auditor therefore he is not required to verify them. Is CA Pankaj correct?

Q. Discuss with reference to SA 510, "Initial Audit Engagement – Opening Balances", the procedures **[OLD]**

Hint: Refer above "*Initial audit engagement*" meaning & "*Audit Procedure reg. Op. balance*"

CA Pankaj is not correct in his approach and therefore would be required to follow the initial audit engagement and also apply audit procedures

Q45. In Initial audit engagement, current period audit procedure provide little evidence for Beginning inventory, so additional audit procedures become necessary to obtain SAAE. (MTP 2024)

Hint: Refer Above topic "For Current Assets & Liability" → "For Inventory obtain SAAE by:"

➢ Nature & Extent of A.Procedure to Perform → to Verify Op. Balance → Will Depends Upon following Factors: *[In Additional Booklet]*

Q46. Explain the matters that will influence the nature and extent of audit procedures you will consider for verifying the opening balances. [Jan'26 MTP2]

(Trick: Accounting Policy & Op. Bal)

- The accounting policies followed by the entity.
- The significance of opening balances relative to current period's FS.

(Trick: PY & CY)

- The nature of the account balances, classes of transactions and disclosures & ROMM in current period's FS.
- Whether the prior period's FS were audited and, if so, whether predecessor auditor's opinion was modified.

[If Last Yr report contain Qualification for inventory → design more extensive and carefully focused audit procedures in CY]

➢ Reporting consideration w.r.t Op. Balances:

Predecessor report contain Modification:	If the prior period's FS audited by a predecessor auditor contain Modified opinion, Auditor shall evaluate the effect of the matter giving rise to the modification in assessing ROMM in current period's FS as per SA 315 Further, if that modification matter remains relevant and material to current period's FS, the auditor shall modify auditor's opinion on the current period's FS in accordance with SA 705(Revised) and SA 710
Accounting policy not consistent:	If auditors conclude that: Current period acc. Policy is not consistent Or, Change in acc. Policy not adequately disclosed as per FRF → Qualify or Adverse Opinion as per SA 705
Auditor reporting i.r.t Op. Balance:	If auditor unable to obtain SAAE w.r.t Op. Balance → Express a qualified or disclaimer opinion as per SA 705 If auditor conclude that Op. bal contains MMS affect current period FS , Not properly accounted, Disclosed or presented → Express qualified or adverse opinion, as appropriate, in accordance with SA 705

Q47. An auditor is appointed for the first time for audit of accounts of an entity. The accounts of previous year were unaudited. He is unable to obtain SAAE regarding the opening balances. What is his responsibility?

Hint: *Express a qualified or disclaimer opinion as per SA 705*

THANK YOU